NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- V)

Company Petition (CAA) No. 127 (ND) OF 2021
Connected with
Company Application (CAA) No. 55 (ND) OF 2021
(Under Section 230 & 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMRIT GOLD INTRADE PRIVATE LIMITED

.....Petitioner No. 1/Transferor Company No.1

AND

OMA INTERNATIONAL PRIVATE LIMITED

.....Petitioner No. 2/Transferor Company No. 2

AND

Z2A STUDY MATERIAL PRIVATE LIMITED

.....Petitioner No. 3/Transferor Company No. 3

AND

SPICE INFOTECH LIMITED

.....Petitioner No. 4/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 25.07.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM

SHRI P. S. N. PRASAD, MEMBER (JUDICIAL)
SHRI RAHUL BHATNAGAR, MEMBER (TECHNICAL)

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PRESENT

For the Petitioners:	FCS Avinash Kaur
For the OL:	Adv. Hemlata Rawat and Adv. Aayushmaan Vatsyayana
For the RD:	Adv. Swechcha Mishra
For the IT Dept.:	None present

ORDER

AS PER SHRI RAHUL BHATNAGAR, MEMBER (TECHNICAL)

1. The present Joint Petition is filed by Petitioner Companies viz., *Amrit Gold Intrade Private Limited* (Transferor Company No. 1), *OMA International Private Limited* (Transferor Company No. 2), *Z2A Study Material Private Limited* (Transferor Company No. 3) and *Spice Infotech Limited* (Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 (Act, 2013) r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation (Scheme) of the Petitioner Companies, their respective Shareholders and Creditors. The registered offices of the Petitioner Companies are situated in the NCT of Delhi and are under the jurisdiction of this Tribunal.

2. The Board of Directors of the Petitioner Companies on 15.03.2021 considered and unanimously approved the proposed Scheme.

3. The Transferor Company No. 1 is a private limited company incorporated on 03.07.2006 having Company Identification Number U51109DL2006PTC349743. The Transferor Company No. 2 is a private limited company incorporated on 08.12.2009 having

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Company Identification Number U18101DL2009PTC196723. The Transferor Company No. 3 is a private limited company incorporated on 25.07.2013 having Company Identification Number U22211DL20139PTC255840. The Transferee Company is a public limited company incorporated on 25.08.2005 having Company Identification Number U72200DL2005PLC139992.

4. It is stated that the Authorized, Issued, Subscribed and Paid up Share Capital of the Petitioner Companies as per the Financial Statements for the period ended 31.03.2021 is as under:

Sl No.	**Company**	**Authorised Share Capital**	**Issued, Subscribed and Fully Paid-up Share Capital**
1	Transferor Company No. 1	Rs. 10,00,000/- divided into 1,00,000 equity shares of Rs. 10 each.	Rs. 8,50,000/- divided into 85000 equity shares of Rs. 10/- each.
2	Transferor Company No. 2	Rs. 50,00,000/- divided into 5,00,000 equity shares of Rs. 10 each.	Rs. 16,72,500/- divided into 1,67,250 equity shares of Rs. 10/- each.
3	Transferor Company No. 3	Rs. 10,00,000/- divided into 1,00,000 equity shares of Rs. 10 each.	Rs. 9,00,000/- divided into 90000 equity shares of Rs. 10/- each.

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4	Transferee Company	Rs. 65,00,000/- divided into 3,00,000 equity shares of Rs. 10 each and 3,50,000 equity shares of Rs. 10 each.	Rs.19,97,240/- divided into 1,09,274 equity shares of Rs. 10 each and 1,80,000 equity shares of Rs. 5/- each.

5. The Rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition/Scheme which may be summarized as under:

   a. The Scheme envisages amalgamation of Transferor Companies with and into Transferee Company resulting in consolidation of businesses thereby strengthening the position of Transferee Company. It is intended that Transferee Company shall have sharper focus on underlying businesses with an aim of achieving operational efficiencies, stronger financials and growth prospects for the people and organization connected therewith. Accordingly, consolidation of businesses ofthe said companies would be in their best interests as well as their respective shareholders and other stakeholders.

   b. The proposed amalgamation is also aimed at optimum and efficient utilization of capital, assets and facilities, reduction of overheads, administrative, managerial and other expenditure and

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to bring about operational rationalization, efficiency and optimum utilization of various resources.

c. The proposed amalgamation will provide the benefit of operational synergies to the combined entity, which can be put to the best advantage of the stakeholders.

d. The proposed amalgamation will lead to improved organizational capabilities and leadership, arising from the pooling of human capital that has the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry.

e. The proposed amalgamation will provide greater efficiency in cash management of the Transferee Company and access to cash flow generated by the combined business, which can be deployed more efficiently to maximize shareholder value;

f. Through the proposed amalgamation, cost savings are expected to flow from more focused operational efforts, rationalization, standardization and improvements, improved procurement and the elimination of duplication, and rationalization of administrative expenses.

g. The merged entity will have the ability to leverage on its assets base, to enhance shareholders value.

h. Reduction in the number of companies leading to reduction in compliance requirements of both the companies..

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6. It is stated by the Petitioner Companies that there are no pending proceedings for inspection, inquiry or investigation under the provisions of the Act, 2013 or under the provisions of Companies Act, 1956.

7. The Petitioner Companies have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. The Certificates from the respective Statutory Auditors of the Transferor Companies and the Transferee Company are annexed and collectively marked as Annexure 3.

8. It is also submitted that the Board of Directors of the Petitioner Companies have determined the share exchange ratio as under:

"8 equity shares of Rs.10/- (Rupees Ten only) each in the Transferee Company shall be allotted as fully paid up (new equity shares) for every 1 equity share of Rs.10/- each fully paid up held by the shareholders in the capital of Transferor Company No.1".

"9 equity shares of Rs.10/- each in the Transferee Company shall be allotted as fully paid up (new equity shares) for every 5 equity shares of Rs.10/- each fully paid up held by the Shareholders in the capital of Transferor Company No. 2."

"1 equity share of Rs.10/- each in the Transferee Company shall be allotted as fully paid up for every 3 equity shares of Rs.10/- each fully

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paid up held by the shareholders in the capital of Transferor Company No. 3."

9. The Petitioner Companies have also annexed the valuation report dated 24.03.2021, issued by Mr. Amit Kumar, Registered Valuer specifying the consideration for the proposed amalgamation.

10. As per records, this Tribunal vide its Order dated 22.12.2021, dispensed with the convening and holding the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Companies.

11. This Tribunal vide its Order dated 24.01.2022 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "Business Standard" (English, Delhi Edition) and "Business Standard" (Hindi, Delhi Edition).

12. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, dated 17.02.2022, confirming that notices, have been duly published in "Business Standard" (English, Delhi Edition) and "Business Standard" (Hindi, Delhi Edition) on 09.02.2022. The Petitioner Companies have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi on 04.02.2022; (b) the Registrar of Companies,

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New Delhi on 04.02.2022; (c) the Official Liquidator, New Delhi on 18.09.2020; (d) the Income Tax Department on 04.02.2022.

13. In response to the above stated notice, the Regional Director has filed its report in the form of an affidavit dated 30.05.2022, along with the reply of the Petitioner Company dated 14.03.2022 and the report of the Registrar of Companies dated 11.05.2022. The Regional Director in its report, upon examination of the Scheme, Reply of the Petitioner Companies and the report of the RoC, submitted that the reply received from the Petitioner appears to be satisfactory and the Scheme can be approved. Further, during the course of hearing on 31.05.2022, the Counsel for the Regional Director submitted that the Department has no objections.

14. The Official Liquidator has also filed its report dated 17.03.2022 and stated that that no complaint has been received against the proposed Scheme from any shareholder, creditor or other stakeholders of the respective companies and that the report is based on the documents submitted by the Petitioner Companies. It is also stated that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 2013 or Companies Act, 1956. Further, during the course of hearing on 31.05.2022, the Counsel for the Official Liquidator submitted that the Department has no objections.

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15. Despite service of notice, the Income Tax Department did not appear or file the report. Therefore, vide order dated 28.04.2022, the Petitioners were directed to file Income Tax Returns for all 4 Companies for the last 3 years accompanied by the Transferee Company's undertaking that they will pay the tax dues, if any claimed as per the provisions of law in force. Pursuant to that, affidavit dated 13.05.2022 was filed complying with the aforesaid order and annexing the Income Tax Returns and Affidavit dated 12.05.2022 of the Transferee Company with respect to payment of income tax dues.

16. In view of the foregoing, upon considering the approval accorded by the members and creditors of both the Petitioner Companies to the proposed Scheme, as well the reports filed by the Regional Director, (Northern Region), Official Liquidator and further considering the affidavits filed by the Petitioner Companies, there appears to be no impediment in sanctioning the proposed Scheme. Consequently, sanction is hereby granted to the Scheme proposed by the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013. The Petitioner Companies, however, shall remain bound to comply with all statutory requirements in accordance with law.

17. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the aforesaid sanction granted by this Tribunal to the Scheme, will not come in the way of action being taken, albeit, in accordance with

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law, against any of the concerned person, Director and Officials of the Petitioner Companies.

18. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other charges and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

19. THIS TRIBUNAL FURTHER ORDERS THAT:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.04.2020, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

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(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they were engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

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(vi) All proceedings now pending by or against the Transferor Companies shall be continued by or against the Transferee Company.

(vii) The Income Tax Department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Companies and the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. That the Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

21. The Company Petition is ALLOWED on the aforesaid terms.

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(RAHUL BHATNAGAR)
Member (T)

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(P. S. N. PRASAD)
Member (J)